

Interconnection of Large Loads to the Interstate Transmission System) Docket No. RM26-4-000
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Pursuant to the Federal Energy Regulatory Commission’s (“FERC” or “Commission”) October 27, 2025 notice in the above-captioned proceeding,¹ Tract Holding Company I, LLC, on its behalf and on behalf of its affiliates, provides the following comments in support of the Advance Notice of Proposed Rulemaking² issued by the Secretary of Energy pursuant to Section 403 of the Department of Energy Organization Act (“ANOPR”)³ to “present[] potential reforms to ensure the timely and orderly interconnection of large loads to the transmission system.”⁴

I. DESCRIPTION OF TRACT

Tract Holding Company I, LLC through its affiliates (collectively, “Tract”), acquires land and develops shovel-ready development sites for data centers—pre-positioning power, fiber, zoning, and entitlements—to expedite speed to power and provide data center operators with faster build cycles at lower risk. Tract is led by an experienced and highly-regarded team of network, energy, cloud, and data center experts, dedicated to accelerating responsible investment in digital infrastructure. Tract’s acquisition and development services focus on master planning data center

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025); see also *Interconnection of Large Loads to the Interstate Transmission System*, Notice Granting Extension of Time, Docket No. RM26-4-000 (Nov. 7, 2025) (granting an extension of time to file initial comments to and including November 21, 2025).

² Secretary of Energy, *Secretary of Energy's Direction that the Federal Energy Regulatory Commission Initiate Rulemaking Procedures and Proposal Regarding Interconnection of Large Loads Pursuant to the Secretary's Authority Under Section 403 of the Department of Energy Organization Act* (Oct. 23, 2025) ("ANOPR").

³ 42 U.S.C. § 7173(a).

⁴ ANOPR at P 1.

technology parks with expertise in designing and developing sites to accommodate large electric loads required for fast-growing customers.

Tract has several projects in progress in jurisdictions across the country, with submitted load interconnection requests pending with transmission providers in both the Eastern and Western Interconnections, as well as in ERCOT. As a developer of data center sites across the United States, Tract has a substantial and direct interest in the outcome of this proceeding that cannot be adequately represented by any other party. Data centers, as large load industrial users, rely on Tract to provide ready access to critical, long-lead utility infrastructure to support the construction and ultimate operation of their facilities. Tract assumes the project responsibilities and financial risks to ensure business-critical infrastructure is available to its end-use customers so they can have a predictable path to vertical data center development. By mitigating typical development risks, Tract provides value to its customers in the form of speed (reduced development intervals) and certainty (reduced financial and execution risks), both of which are critical factors in approving investment decisions of this magnitude.

Tract supports the goals of DOE and FERC in this ANOPR. The rules that emerge from this proceeding should ensure that developers continue to be able to compete for load interconnection capacity without confronting unduly burdensome barriers to entry. The dominance of the U.S. data center industry relative to global competitors is at least in part attributable to the ability of developers to take development risk with time and monetary commitments to quickly bring data centers online. Today, the vast majority of data center capacity in the United States is owned by companies that are not hyperscalers, and by 2030, those same companies are expected

to own 60% of data center capacity.⁵ Looking forward to the next 10-15 years, even a majority of hyperscaler capacity is expected to be leased from third-party operators. Thus, any rules adopted by the Commission should provide an even playing field for all data center developers, without unduly discriminating against companies on the basis of their business model or size.

II. RESPONSE TO DOE ANOPR REQUEST FOR COMMENTS

A. Principle 3: Studying Load and Generation Together

Tract supports DOE's proposal to study load and hybrid facilities together with generating facilities located at the same point of interconnection. Such joint study process should be at the option of both the load and generation customer and should be designed in such a way to result in faster and/or less costly interconnection for both the load and the generator. Done properly, this would incentivize loads to bring their own generation or at least select locations on the transmission network that have the least impact on reliability.

B. Principle 4: Standardized Study Deposits, Readiness Requirements, and Withdrawal Penalties

Tract agrees with adopting standardized study deposits, readiness requirements, and withdrawal penalties, provided that they are consistent with the Commission's cost-causation principles. Adopting deposits or penalties that are not sized to reflect a project's impact on the system will unnecessarily and economically deter data center development, threatening the ability to achieve the Administration's dual goals of energy dominance and winning the AI race. Any security deposit requirements or financial penalties should therefore be based on the actual costs caused by the action being securitized or penalized, as well as align with project development milestones. Readiness requirements should align with the generator interconnection process and

⁵ 2025 United States Data Center Market Outlook at 12, Newmark (Feb. 13, 2025), available at <https://nmrk.imgix.net/uploads/images/2025-US-DataCenter-MarketOutlook-FINAL.pdf>.

hinge on project site control.⁶

1. The Commission Should Ensure Predictability

As a general principle, prospective large load customers require the ability to reasonably predict costs for electric service to evaluate both the feasibility of specific projects and the attractiveness of investing in the broader energy market. This means that large load customers must understand how interconnection costs will be calculated and be able to reasonably predict the cost of service of load. The Commission should establish a standardized methodology, whether by requiring fixed deposit amounts based on load size, by kWh, or through another metric, whereby customers can reasonably calculate anticipated charges and plan their investments accordingly.

2. The Commission Should Adopt Queue Management Reforms

Under Order No. 2023,⁷ there are now firm deadlines by which utilities are required to complete their interconnection studies for new generation requests and penalties for missing those deadlines.⁸ The Commission should apply the lessons it learned in the generator interconnection process and adopt similar deadlines for studying standardized load interconnection requests.

Furthermore, the Commission should establish standardized rules for each step in the large load interconnection process, the expected timing of each step, and other guidelines governing queue management, including whether the transmission provider is employing a cluster study or sequential study model, similar to generator interconnection.⁹ Transmission providers should be

⁶ *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054, PP 594, 596 (2023), *order on reh'g*, 185 FERC ¶ 61,063 (2023) (“Order No. 2023”), *order on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199 (2024).

⁷ *See* Order No. 2023, 184 FERC ¶ 61,054.

⁸ The change was prompted based on FERC’s assessment of the harms to the electrical system and projects due to the uncertain and expanding timelines for the interconnection process for generators. *Id.* at P 873.

⁹ For example, the Evergy process has discrete steps in the interconnection process with associated timelines. *See, e.g.*, Direct Testimony of Jeff Martin on Behalf of Evergy Missouri Metro and Evergy Missouri West at 9–12, Missouri Public Service Commission Case No. EO-2025-0154 (Feb. 14, 2025), available at <https://efis.psc.mo.gov/Document/Display/819047> (explaining the different phases on the interconnection process).

required to provide information on (1) the potential timeline for the completion of required interconnection studies, (2) the other steps that may be included in the interconnection process, and (2) how the transmission provider will evaluate or manage multiple requests from competing large load customers.

While Tract appreciates the complexity of managing interconnection queues, information about interconnection study timelines and how the queue will be managed is crucial for prospective large load customers as they develop their own financing and construction timelines. Providing such details about the process improves overall transparency and reduces the risk that projects become stranded in the interconnection process.

3. The Commission Should Adopt Clear and Predictable Financial Security Requirements that are Consistent with Commission Precedent.

Tract appreciates the need to provide financial security for load interconnection requests, but believes financial security requirements should be clear, predictable, in line with cost-causation, and tied to project progress. Creditworthiness should be based on factors that may influence the amount and type of required security, such as credit rating, balance sheet health, access to credit instruments, or other relevant financial information about the large load customer while keeping in mind the different business models and sizes of large load customers so as to provide an even playing field and facilitate, rather than stymie, investment. If factors to determine creditworthiness and permitted security instruments are standardized and known before entry into the large load interconnection process, prospective large load customers can progress projects with

for new large load customers and the general, anticipated timeline for each phase); Direct Testimony of Bradley D. Lutz on Behalf of Every Missouri Metro and Every Missouri West at Schedule BDL-1 at 45, Missouri Public Service Commission Case No. EO-2025-0154 (Feb. 14, 2025), available at <https://efis.psc.mo.gov/Document/Display/819048> (proposed tariff outlining the use of the cluster study process to manage the queue); *see also* *Explainer on the Interconnection Notice of Proposed Rulemaking*, Federal Energy Regulatory Commission (Dec. 12, 2024), available at <https://www.ferc.gov/explainer-interconnection-notice-proposed-rulemaking> (discussing the implementation of the cluster study process).

accurate cost knowledge or avoid a certain market altogether—both practices reduce the risk of stranded investment thereby benefiting all parties.

Tract recommends that letters of credit, surety bonds, and parent company guarantees are permitted instruments when financial security is required.

Consistent with the Commission’s cost-causation principles, financial security should only be required for actual incremental costs caused by the large load customer, and should not provide a windfall to transmission providers in the event of default. Guaranteeing a transmission provider’s revenue should not be the purpose of large load customers providing financial security. Given that large load interconnection customers are availing themselves of the transmission system like any other load, Tract proposes that the Commission adopt the same financial security requirements for large load interconnection customers as exist for other transmission service customers (*e.g.*, security for network upgrades in PJM).

In addition, Tract recommends the Commission require large load interconnection customers to only post financial security as they approach key project milestones (*i.e.*, to support detailed design, permitting and right-of-way acquisition, procurement, pad acceptance, construction and energization), rather than up front as a lump sum because this places an unnecessary financial burden on the large load interconnection customer and creates incremental impediments to development. A milestone-based approach is consistent with the approach employed in the generator interconnection process, whereby generators provide capital contributions and financial security before a transmission provider incurs certain costs. Moreover, a milestone-based approach minimizes stranded cost risk for transmission providers and ratepayers by ensuring that anticipated costs are securitized before they are incurred, and it maintains fairness for large-load customers making major infrastructure investments that are contributing to overall

economic growth. It also ensures that companies like Tract and data center developers, can better forecast and deploy capital expenditures to develop new sources of generation and data centers.

Tract further recommends that any amount of financial security provided increase in proportion to the transmission provider's investment or expenditures as the project progresses, and decrease in proportion to payments made by the large load customer. Each dollar committed by the transmission providers to serve a large load customer should be financially secured by that large load customer prior to that dollar being committed by the transmission provider. No more and no less, and no earlier and no later.¹⁰ Such a milestone-based approach establishes a predictable capital outlay and reduces the likelihood of large load customers bearing an outsized risk at the beginning of the interconnection process, while also providing the transmission provider and ratepayers sufficient protections. It also reduces the risks associated with the transmission provider functioning as a de facto bank during the development of projects and better reflects broader trends in project development.

4. Large Load Interconnection Agreements and Related Financial Security Agreements Should be Assignable to Creditworthy Third-Parties.

The Commission should require that large load interconnection agreements and any related financial security agreements be assignable to creditworthy third parties. Not only does this facilitate a robust project development ecosystem, it also protects ratepayers from stranded costs and underutilized or incomplete infrastructure.

Specifically, Tract recommends that any agreement entered into between the large load customer and the transmission providers as part of the load interconnection process provide for

¹⁰ Riu, E. et al., *Balancing Risk and Growth: Best Practices for Utility Credit and Collateral Requirements for Large Load Customers* at 11, 14, Energy and Environmental Economics (July 2025), available at https://www.ethree.com/wp-content/uploads/2025/08/E3_Utility-Credit-and-Collateral-for-Large-Load_Whitepaper.pdf.

assignment by right to: (i) a third party with an equal to or better credit rating; (ii) a third party so long as such third party provides the requisite financial security (which security instrument may be in the form of a parent company guarantee if deemed appropriate based on credit rating); or (iii) an affiliate of the large load customer or any person or entity which, through merger, reorganization, acquisition or otherwise, succeeds to all or substantially all of the large load customer's business.

Adding such language to each agreement provides necessary certainty for project development, protects ratepayers by fostering a competitive data center development industry, and ensures that any eventual party to an agreement is creditworthy and can afford the financial obligations it assumes. Furthermore, assignability protects transmission providers and ratepayers by allowing projects to change hands in the event of commercial necessity, ensuring project continuity and reducing the risk of stranded assets. This approach additionally helps utilities plan better and facilitates forecasting for the ultimate end-use customer.

C. Principle 5: Hybrid Facilities Should be Studied Based on Amount of Net Injection at the Interconnection Customer's Election.

Tract agrees that load and generation interconnection requests should have the option to undertake netted study situations, but it should not be required. For example, in the scenario provided by the DOE in the ANOPR,¹¹ the hybrid facility may want the flexibility for withdrawal rights even though the nameplate capacity of the co-located generating facility is sufficient to serve the entire load. Similarly, a hybrid facility may want the flexibility for injection rights greater than 100 MW if it seeks to deliver and monetize the capacity of the generating facility at times when the load is not drawing from the generator at its full capacity.

¹¹ ANOPR at P 22.

D. Principle 7: Interconnection Study of Curtailable or Dispatchable Large Loads

Tract agrees with the proposal to expedite the interconnection study of large loads that agree to be curtailable and hybrid facilities that agree to be curtailable and dispatchable. This could take the form of a serialized or clustered queue process, such as those that exist for surplus or provisional interconnection processes. FERC will need to determine whether it wants to impose standardized study assumptions for the loads and generators included in the power flow models underlying those studies. Such studies should be able to be completed in 60 days.

E. Principle 8: Load and Hybrid Network Upgrades

To the extent any network upgrades are assigned through interconnection studies to load or hybrid facilities, such costs should be offset through a crediting mechanism based on the actual usage of those upgrades by other networked customers. Those credits should last until the costs of the corresponding facilities are recovered 100%, not based on any pre-determined timeframe.

F. Principle 9: Interconnection Customers Should Have the Option to Build

Tract agrees with the DOE's proposal to afford load interconnection customers the same or equivalent option to build as currently provided to generator interconnection customers.

G. Principle 13: Transition

Tract agrees that there must be a plan to implement the proposed reforms that recognize the time, capital, and effort spent on requests that are already being studied for interconnection. Negatively affecting those existing requests not only wastes individual requestor's time, capital, and effort, but could also negatively impact all large load requests by causing cascading re-studies that delay or increase the costs of other large load requests.¹² Existing requestors should have the

¹² The Commission routinely implements transmission mechanisms when approving new rules. Order No. 2023, 184 FERC ¶ 61,054 at P 855.

option, but not the obligation, to benefit from the ANOPR's reforms. The reforms should not require re-study or add costs to existing requests.

III. COMMUNICATIONS

Please address all notices and communications regarding this proceeding to the following persons who are also designated for service in this proceeding:

Allison Girvin
Orijit Ghoshal
Tract Holding Company I, LLC
c/o Tract Capital Management, LP
3200 Cherry Creek S. Dr., Ste 700
Denver, CO 80209
Tel: 303-276-7950
allison.girvin@tract.com
orijit.ghoshal@tract.com

Tyler O'Connor
Crowell & Moring LLP
1001 Pennsylvania Avenue NW
Washington, DC 20004
Tel: 202-624-2500
toconnor@crowell.com

Kathryn Douglass
Crowell & Moring, LLP
1601 Wewatta St., Ste 815
Denver, Colorado 80202
Tel: 303-524-8654
kdouglass@crowell.com

IV. CONCLUSION

For the reasons above, Tract respectfully urges the Commission to adopt a standard large load interconnection process consistent with the comments herein.

Respectfully submitted,

Tyler O'Connor

Tyler O'Connor

Crowell & Moring, LLP

1001 Pennsylvania Avenue, NW

Washington, DC 20004-2595

Kathryn Douglass

Crowell & Moring, LLP

1601 Wewatta St., Ste 815

Denver, Colorado 80202

Counsel for Tract Holding Company I, LLC

November 21, 2025

CERTIFICATE OF SERVICE

I hereby certify that on this 21st day of November, 2025, a copy of the foregoing document has been electronically served upon each person designated on the official service list in this proceeding.

/s/ Kathy Lowrey

Kathy Lowrey

Crowell & Moring LLP

1001 Pennsylvania Avenue, NW

Washington, DC 20004

202-624-2940

KathyLowrey@crowell.com